



COMMERCE SECRETARY Rajesh Agarwal is a worried man. The reason: The flare-up in West Asia. Starting off the monthly trade meeting in mid-March, he noted, “One challenge got over, the other started.” He was referring to the conflict in West Asia, which has impacted India’s trade, about a year after reciprocal tariffs imposed by the US, which have since been struck down by the Supreme Court there. While Agarwal was highlighting the challenges for exports, his words also ring true for the entire economy.

The war between the US-Israel alliance and Iran is creating not just ripples but supply shocks across the world. For India, too, it’s turning out to be a big concern. The country imports over 88% of its crude oil requirements, of which about 55% comes from West Asia. The crucial Strait of Hormuz, through which 20% of the world’s crude oil passes, has been closed, with Iran allowing only a few ships to pass, creating a chokepoint for oil and gas supplies to India as well as exports from India to West Asia, North America and Europe. Attacks at several oil and gas production facilities in the Gulf region have squeezed supplies further.

Rahul Kapoor, Global Head, Shipping and Metals, S&P Global Energy, says the effective closure of the Strait is a black swan event for energy markets with significant impact on both crude and LNG flows. “The escalation in West Asia puts the key oil chokepoint, Strait of Hormuz, at the centre of global geopolitics. Ship-



Domestic industry is facing the repercussions of the energy crisis, with sectors like fertilisers, plastics, ceramics, hospitality and travel under pressure

Households are worried about cooking gas shortage, petroleum price hike

Exports under pressure as shipments are delayed due to disruption at the Strait of Hormuz